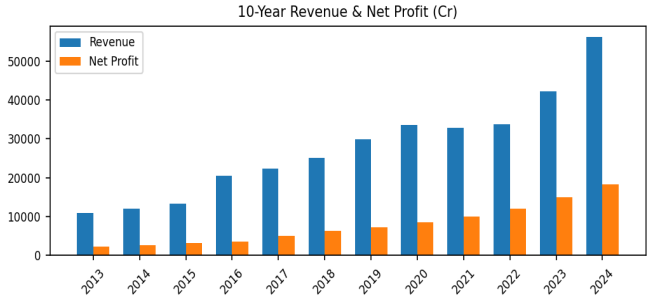
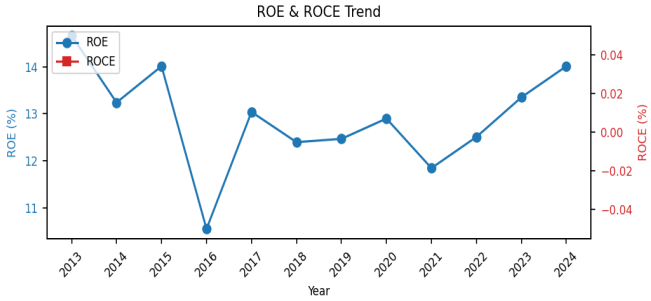
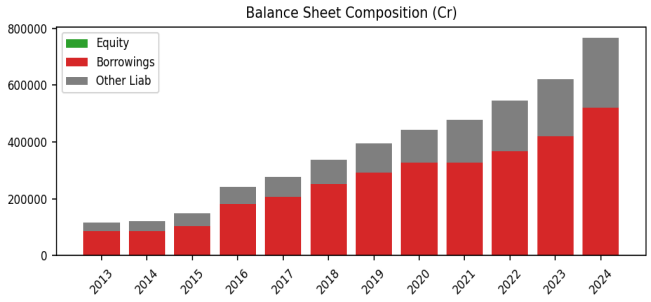
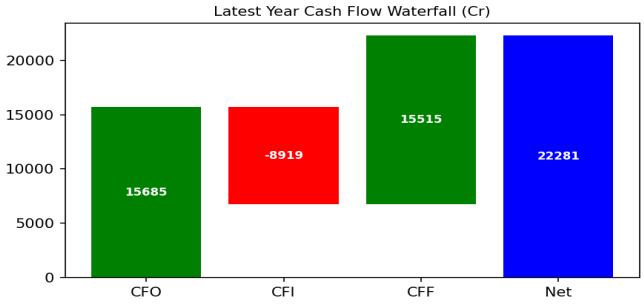
Kotak Mahindra Bank Ltd (KOTAKBANK)

Revenue	Net Profit	Total Equity
■5.6T	■1.8T	■994Cr
ROE	**ROCE**	**D/E**
14.0%	-	4.00x









Pros	Cons
• Operating profit margin above 25% indicates strong pricing power and cost discipline (Conf: 80%) • Net profit compounding at above 20% over 5 years creates significant shareholder value (Conf: 90%) • Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding (Conf: 85%) • Return on equity improving for 3 consecutive years shows strengthening business quality (Conf: 75%) • Revenue growing slower than profits shows improving operating leverage and scale benefits (Conf: 70%)	• Interest coverage ratio below 1.5x indicates the company is at risk of not meeting its debt obligations (Conf: 85%) • Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility (Conf: 80%)

Capital Allocation Pattern: Mixed